

Climate Bond Framework of E1 SUBHOLDING S.A. in 2021

Introduction

E1 Subholding S.A. is a company that is part of the E1 Energias Renováveis group, one of the pioneers in solar energy in the Northeast of Brazil. Founded in 2019, the company has its administrative headquarters in Fortaleza-Ceará-Brazil.

Inspired by the desire to generate clean and sustainable energy for our customers, we operate in the renewable energy market with a focus on Distributed Generation and the Free Market.

We operate in the construction and operation of solar power plants. Currently with 68 plants located in the five regions of Brazil, present in all 26 states and in the Federal District.

E1 Subholding S.A. is committed to building a more sustainable world. We have 88.7 MWp in our project portfolio, exceeding 250,000 photovoltaic modules, with an average Generation 11.6 GWh / month. Thus, we have 70 impacted cities in all states of Brazil. A generation of 3,500 jobs direct and indirect. And the main thing, this implies a reduction in emissions of 280 thousand kg of CO₂ / year in nature.

In this process, E1 Subholding shall endeavor to attend its climate and environmental commitment through an structured assortment of measures:

- a) Contribute towards generation of solar energy in a sustainable way, respecting the environment, employees, natural characteristics of each location, laws, and the best business practices.
- b) We support the rational and efficient use of the energy produced and monitor any impacts caused by the installation of the systems, in order to act preventively, controlling any social and environmental risks. The company has, for each location, a Solid Waste Management Plan, an Environmental Risk Prevention Program and an Environmental Emergency Plan.
- c) Be transparent, Ethical and fair to all stakeholders. Our finances are transparent and we have an anti-corruption and compliance policy, which must be followed by everyone involved in the company's activities.
- d) Generate awareness, share knowledge and support training programmes on sustainable development among. We follow a policy to protect health and safety at work and constantly train our employees to safely perform their duties. In addition, all employees and executives of the company are familiarized with the Company's sustainable vision and mission.

The Company has governance and procedures to advance its climate commitments.

E1 Energias is committed to identifying and managing the socio-environmental impacts of its activities and to acting in a to minimize them. In this sense, we comply with all legal obligations and continuously seek to improve our processes, in order to achieve excellence in terms of sustainable solar energy generation.

We support the rational and efficient use of the energy produced and monitor any impacts caused by the installation of the systems, in order to act preventively, controlling any social and environmental risks.

E1 Energias is also committed to respecting the community where its systems are installed, in order to contribute for the local quality of life and to use natural resources in a rational way, conserving biodiversity, water, the soil and the air.

In order to act preventively, controlling any social and environmental risks, the company has, for each location, a Solid Waste Management Plan, an Environmental Risk Prevention Program and an Environmental Emergency Plan.

Framework Overview

The Green Bond Framework ("Framework") sets out how the company proposes to use the proceeds of Green Bonds for construction of Eligible Green Projects in a manner consistent with the company's sustainable values and provide the transparency and disclosures investors need to make investment decisions.

The Green Bond Framework is established in accordance with Climate Bond Standard version 3.0.

This framework also adheres to the Green Bond Principles, 2016 by the International Capital markets Association (ICMA).

Use of Proceeds

The proceeds will be fully allocated to (re) finance 49 distributed solar energy generation projects. The financed projects meet the eligibility requirements in the Climate Bonds Taxonomy and are aligned with the GBP. In the portfolio of projects to be financed, there are nine plants already under installation, as table below.

Power Plant	Capacity Installed (MWp)	Localization
UFV E2 Equipamentos Fotovoltáicos BA 01 – Irecê	1,35	Irecê (BA)
UFV E2 Equipamentos Fotovoltáicos BA 02 - América Dourada	1,35	América Dourada (BA)
UFV E2 Equipamentos Fotovoltáicos CE 02 - Caridade	1,21	Caridade (CE)
UFV E2 Equipamentos Fotovoltáicos MA 01 – Riachão	0,77	Riachão (MA)
UFV E2 Equipamentos Fotovoltáicos PE 01 – Araripina	0,87	Araripina (PE)
UFV E2 Equipamentos Fotovoltáicos PE 02 – Araripina	1,08	Araripina (PE)
UFV E2 Equipamentos Fotovoltáicos PI 01 – Jaicós	0,33	Jaicós (PI)
UFV E2 Equipamentos Fotovoltáicos PA 01 - Pau D'Arco	2,48	Pau D'arco (PA)
UFV E2 Equipamentos Fotovoltáicos TO 01 – Araguatins	0,72	Araguatins (TO)

For future expenses, with 40 projects not yet defined, the process of selecting projects for financing begins with the client's expression of interest in self-sufficiency in the production and compensation of electricity, and also includes approval of the local distribution concessionaire, according to the process described in the following item.

GBP explicitly recognizes Renewable Energy as a project category eligible for characterization as Green Bond. Additionally, the project category related to solar energy is included in the definitions of the Climate Bonds Taxonomy, encompassing the following activities:

- Development, construction and operation of electricity generation plants photovoltaic;
- Transmission infrastructure totally dedicated to solar complexes.

Climate Bonds Taxonomy provides general definitions for issuers about which types projects would be able to receive green bond titles. The publication "The Coolest Bonds" believes that photovoltaic solar energy is aligned with the fulfillment of the Paris Agreement.

In this sense, the climate-related objectives of the bond are the reduction of greenhouse gas (GHG) emissions, through the increase of renewable energy generation.

Selection and Evaluation of Eligible Green Projects

Proceeds obtained through the green bond will generate an estimate of 69,8 GWh per year of renewable energy and avoid the emission of 5,000 tCO₂eq per year through 49 distributed solar energy generation projects.

The project selection process includes the approval of local energy distributor, analysis for area selection, analysis of technical criteria of solar radiation, impacts on local community, environmental licensing and urban planning licensing.

The projects also must be compliant to the Climate Bonds Standard & Certification Scheme Sector Criteria for Solar Energy.

Management of Proceeds

The issuance sums up to R\$ 150 million, which is equivalent to the estimated total cost of the 49 projects. Of the total, R\$ 50 million will be destined to refinance a loan from December 2020, that was used to finance the projects. The remaining proceeds (R\$ 100 million) will be used for future expenses related to the projects. Proceeds can be temporarily invested in low-risk daily liquidity financial instruments. It is estimated that the proceeds from the green debenture will be entirely allocated to the selected projects until December 2021.

Reporting

The Company will disclose annually, on its website (<https://e1energia.com.br>) or in specific report, the proceeds allocation on related projects and the environmental benefits' main indicators of the projects, namely the amount of renewable energy generated and avoided GHG emissions. The Company will also report on environmental licensing status and project location.

Assurance

E1 Subholding S.A.'s Green Bond framework work will be verified by SITAWI Finance For Good and certified by Climate Bonds Initiative for the inaugural Green Bond issue. This will be published on the E1 Subholding S.A. website.

E1 Subholding S.A. will also get post issuance certification from the Climate Bonds Initiative to assure the Use of Proceeds allocation, ongoing eligibility of the projects and assets, adequacy and output of the Issuer's internal control and systems and the use of funds not yet allocated as per the framework established. Post issuance verification will be completed within one year after issuance of bond and published on Issuer's website.

Disclaimer:

The certification of the Bond as Climate Bonds by the Climate Bonds Initiative is based solely on the Climate Bond Standard and does not, and is not intended to, make any representation or give any assurance with respect to any other matter relating to the Bond or any Nominated Project, including but not limited to the Information Memorandum, the transaction documents, the Issuer or the management of the Issuer.

The certification of the Bond as Climate Bonds by the Climate Bonds Initiative was addressed solely to the board of directors of the Issuer and is not a recommendation to any person to purchase, hold or sell the Bond and such certification does not address the market price or suitability of the Bond for a particular investor. The certification also does not address the merits of the decision by the Issuer or any third party to participate in any Nominated Project and does not express and should not be deemed to be an expression of an opinion as to the Issuer or any aspect of any Nominated Project (including but not limited to the financial viability of any Nominated Project) other than with respect to conformance with the Climate Bond Standard.

In issuing or monitoring, as applicable, the certification, the Climate Bonds Initiative has assumed and relied upon and will assume and rely upon the accuracy and completeness in all material respects of the information supplied or otherwise made available to the Climate Bonds Initiative. The Climate Bonds Initiative does not assume or accept any responsibility to any person for independently verifying (and it has not verified) such information or to undertake (and it has not undertaken) any independent evaluation of any Nominated Project or the Issuer. In addition, the Climate Bonds Initiative does not assume any obligation to conduct (and it has not conducted) any physical inspection of any Nominated Project. The certification may only be used with the Bond and may not be used for any other purpose without the Climate Bonds Initiative's prior written consent.

The certification does not and is not in any way intended to address the likelihood of timely payment of interest when due on the Bond and/or the payment of principal at maturity or any other date.

The certification may be withdrawn at any time in the Climate Bonds Initiative's sole and absolute discretion and there can be no assurance that such certification will not be withdrawn."